



UNISWAP HOOK INCUBATOR • COHORT 9

HOOKATHON BRAINSTORM GUIDE

Impermanent Loss & Yield Systems

HOOKATHON

May 25, 2026

DEMO DAY

June 19, 2026

FORMAT

7-slide field guide

AUDIENCE

UHI9 cohort builders

- THEME OVERVIEW

Turn Uniswap into a **yield-protected** **AMM layer** for volatile pairs.

UHI9 is about hooks that protect LPs from impermanent loss *and* unlock sustainable on-chain yield. Stickier liquidity. Predictable returns. A real shot at the volatile-pair market.

// THE FOUR OPEN PROBLEMS

01

LPs lose value when prices diverge — impermanent loss.

02

Out-of-range liquidity sits idle and earns nothing.

03

Fee revenue is lumpy, unpredictable, often insufficient.

04

No native tools inside Uniswap to hedge or boost yield.

● PAST COHORTS

Five precedents that defined the space.

The strongest prior art for the UHI9 theme. Study them. Don't rebuild them.

UHI1

FlexFee

Volatility-linked dynamic fees, calculated via Brevis ZK proofs. The cleanest early answer to IL.

Dynamic Fees • ZK

UHI3

Gainswap

Borrows liquidity to short-sell impermanent loss — turning IL into impermanent *gain*.

IL Inversion • Novel

UHI4

xtreamly

AI-powered smart hedging using volatility predictions and perpetual futures to minimize IL.

Perp Hedge • ML

UHI2

Idle Liquidity Yield Hook

The archetype: out-of-range liquidity routed to Aave / Morpho, pulled back when price re-enters range.

Lending • Capital Efficiency

UHI6

YieldSync

Auto-adjusts LST pool positions to compensate for stETH/rETH yield drift. 95% capital efficiency.

LSTs • Drift

● NOT YET ATTEMPTED

Five ideas no one has built — yet.

After reviewing every hook across eight cohorts, these five remain genuinely open. The biggest white spaces for UHI9.

★ WHITE SPACE

01 Yield Tokenization Hook

Split LP positions into principal and yield tokens, Pendle-style — but native to a v4 hook. Sell future fee yield upfront for immediate liquidity.

→ TRADFI · PENDLE-STYLE

02 Fixed APY Subscription Hook

LPs lock liquidity for a set period and receive a guaranteed yield rate — funded by swap fees plus external sources like Aave or Morpho.

→ FIXED INCOME · LOCKUP

03 IL Insurance Premium Fund

An actual pooled insurance fund. LPs pay premiums, file claims when IL exceeds a threshold. Structurally separate from pool mechanics.

→ MUTUAL INSURANCE

04 Volatility-Gated LP Entry

Use an oracle to pause new deposits during high-volatility windows. Proactive prevention, not reactive compensation.

→ PROACTIVE · ORACLE

05 Time-Weighted IL Smoothing

Spread IL realization across time instead of crystallizing it at withdrawal. Reward longer-tenure LPs with lower effective IL.

→ BEHAVIORAL · TENURE

● TRIED RARELY

Six directions touched, never nailed.

Existing attempts were complex, partial, or focused elsewhere. Each is a real opportunity to ship something cleaner — or to combine with a second mechanism.

● 1–4 ATTEMPTS

01 Delta-Neutral Perp Hedging

One attempt (xtreamly, UHI4) — AI-heavy and complex. A clean, simple on-chain perp hedge with sharp UX is wide open.

→ TRIED 1× • XTREAMLY

02 MEV / LVR → LP Redistribution

Three or four attempts focused on capture. None framed redistributed MEV specifically as a yield source for IL offsetting.

→ TRIED 3–4× • EIGENLVR, ROLAID

03 Smart Auto-Compounding

Basic versions exist. Add intelligence — only compound when gas is cheap, route into the optimal yield source per block.

→ TRIED 2× • AUTO COMPOUND, PRISMA

04 Fixed-Income Tranches

One early attempt with limited execution. Senior earns fixed, junior absorbs IL. Big opportunity for a cleaner, composable design.

→ TRIED 1× • FIXED/LEVERAGE YIELD

05 Cross-Pool Hedging Router

Listed in the official Uniswap prompt — essentially unbuilt. Route across correlated pairs so opposing LP positions cancel IL.

→ TRIED 0–1× • STRONG SIGNAL

06 JIT Defense + Options Collars

JIT detection as an LP primitive (1× indirect). Clean on-chain put/call collars (1–2× conceptual). Both wide open end-to-end.

→ TRIED 1–2× • PARITYTAX, GAINSWAP

● KEY TAKEAWAYS

Five things to carry into your scoping session.

AVOID

01

Idle-to-lending is over-built.

5+ implementations across cohorts. Need a real differentiator: an asset niche, a novel layer, a new protocol integration.

AIM FOR

02

White space lives in TradFi-shaped products.

Yield tokenization, structured fixed income, proactive prevention. Less mechanism design, more product thinking.

WIN CONDITION

03

Combine protection *and* yield.

Pure mechanism is a sketch. Insurance fund that earns yield on premiums. Tranche where senior earns from idle lending. Pair them.

BE HONEST

04

Know where the risk goes.

IL doesn't disappear, it shifts. In one sentence: who absorbs it? Junior tranche? Insurance pool? Hedge counterparty?

BUILD WITH

05

Composability is leverage.

The strongest hooks plug into Aave, Morpho, Pendle, Hyperliquid, EigenLayer. Build for the ecosystem, not in isolation.

• FOUR WEEKS TO SHIP

Find your angle. Go build.

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MISSION

Protect LPs · pay LPs